APEX HOMEOWNERS SPECIAL FORM HO-3 (HO3-2026-TX)

Line of Business: Homeowners | Jurisdiction: State of Texas | Effective Date: March 1, 2026

SECTION I - PROPERTY COVERAGES & LIMIT SCHEDULE

Coverage under Section I protects against direct physical loss to property described in Coverages A, B, C, and D.

Section I / II Coverage	Limit of Insurance	Basis of Valuation / Limit Calculation
Coverage A: Dwelling	$450,000	Replacement Cost Value (RCV)
Coverage B: Other Structures	$45,000	10% of Coverage A Dwelling Limit
Coverage C: Personal Property	$225,000	50% of Coverage A Dwelling Limit (Actual Cash Value)
Coverage D: Loss of Use	$90,000	20% of Coverage A Dwelling Limit
Coverage E: Personal Liability	$300,000 per occurrence	Single limit bodily injury and property damage
Coverage F: Medical Payments to Others	$5,000 per person	No-fault medical expenses within 3 years of accident

SECTION II - DEDUCTIBLES & TEXAS SPECIAL PROVISIONS

Clause 2.1: Standard All-Peril Deductible

A baseline deductible of $1,500 applies to each covered loss under Section I, except for losses caused by Windstorm or Hail.

Clause 2.2: Mandatory Texas Windstorm and Hail Deductible

For properties located within the State of Texas, a separate Windstorm and Hail deductible applies equal to 2% of the Coverage A Dwelling limit ($9,000 for a $450,000 dwelling). No other deductible applies to windstorm or hail events.

SECTION III - RATING FACTORS & RATE SCHEDULE

Base property insurance rate per $1,000 of Coverage A is modified by fire protection class, construction material, roof age, and coastal distance.

Clause 3.1: ISO Public Protection Class (PPC) Factors

Rating Factor RF-PPC applies according to municipal fire district grade: Class 1-3 (Factor 0.85), Class 4-6 (Factor 1.00 - Base), Class 7-8 (Factor 1.25), and Class 9-10 (Factor 1.70 - Requires underwriter pre-clearance).

Clause 3.2: Construction Type & Roof Material Factors

Masonry construction receives a credit factor of 0.90; Frame construction is base 1.00. Class 4 Impact-Resistant Roofs (UL 2218 certified) receive an annual premium reduction credit factor of 0.82.

SECTION IV - UNDERWRITING RULES & BINDING AUTHORITY

Rule UW-HO-1: Structure Age and Utility Modernization

Dwellings older than 40 years are not eligible unless electrical (circuit breakers, no knob-and-tube), plumbing (copper/PEX), and HVAC systems have been fully updated within the last 20 years with permits. Polybutylene plumbing is unacceptable.

Rule UW-HO-2: Roof Age and Maintenance Guidelines

Roofs composed of architectural shingles must be under 20 years of age. Three-tab composite shingle roofs must be under 15 years of age. Dwellings with existing wood shake roofs or curling/missing shingles are ineligible.

Rule UW-HO-3: Coastal Territory Restriction (Texas Windstorm Insurance Association)

Properties located Tier 1 first-tier coastal counties (Galveston, Brazoria, Nueces, etc.) must exclude wind/hail coverage and obtain windstorm policies via TWIA, or pay an Apex Coastal Surcharge Factor of 2.10.

SECTION V - EXCLUSIONS & RESTRICTIONS

Clause 5.1: Water Damage & Flood Exclusion

We do not cover loss caused directly or indirectly by: (1) flood, surface water, waves, tidal water, or storm surge; (2) water or water-borne material which backs up through sewers or drains or which overflows from a sump pump, unless explicitly endorsed under Endorsement HO-TX-04.

Clause 5.2: Earth Movement and Sinkhole Collapse

Excluded perils include earthquake, landslide, mudflow, subsidence, sinkhole collapse, or volcanic eruption.

Clause 5.3: Foundation Settling and Soil Expansion

We do not cover settling, cracking, shrinking, bulging or expansion of pavements, patios, foundations, walls, floors, roofs or ceilings caused by soil movement or thermal changes.

SECTION VI - COMMON ENDORSEMENTS

Endorsement HO-TX-04: Water Backup and Sump Overflow

Provides up to $10,000 for direct physical loss to property caused by water that backs up through sewers or drains or overflows from a sump pit. Subject to a dedicated $500 endorsement deductible. Annual premium: $65.00.

Endorsement HO-TX-08: Scheduled Personal Property (Jewelry & Fine Arts)

Provides open-peril scheduled coverage without deductible for specified jewelry, watches, furs, and fine arts up to an appraised schedule maximum of $25,000. Current appraisal within 24 months required.